bumps in the road and not seek a quick exit. This has helped condition us to take a longer view when the public enterprises in our portfolio experience turbulence.

At Abrams Capital, our increased patience has had an interesting effect. I have noticed that our relationships with the top managers at some of our public companies have become more like the ones we have with the leaders of our private companies. Several public companies in which we hold shares now regularly seek our input before engaging in major transactions, and one CEO asked one of my partners to join his board even though we had not requested a seat. I believe what has happened is that we have communicated our long-term perspective through our actions and words, and managers have responded positively.

Despite the psychological challenges that come with publicly traded securities, the price of a stock itself can be an asset. Around the same time that we purchased Lithia, we also bought another public auto dealer, Asbury Group, which had two things going for it. First, its CEO, David Hult, is quite talented; the company's operating metrics are among the best in the industry. Second, Asbury had pursued a capital-allocation strategy that created value, although its path was different than Lithia's. For many years, Asbury took advantage of Mr. Market's grumpiness (he seems to perpetually frown on the industry) by repurchasing a significant portion of its shares. Between 2005 and 2020, Asbury increased its earnings per share from $1.84 to $12.89, a nearly sevenfold jump. Almost half of that growth was due to the company's share-repurchase program, which slashed the number of outstanding shares from 33 million to 19 million over those 15 years.

When the incentives of management, the board of directors, and investors are all aligned, a company's performance tends to be better—often vastly better—than when they are not. The private-company investor can insist that managers invest a significant portion of their